COMPOSITES

Learning Outcome

- explain the purpose of composites in performance reporting

One of the key concepts of the GIPS standards is the required use of composites. A composite is an aggregation of one or more portfolios managed according to a similar investment mandate, objective, or strategy. The requirement to create, use, and maintain composites is designed to prevent firms from cherry-picking—using the best-performing accounts to represent the performance of an investment strategy. A composite must include all actual, fee-paying, discretionary portfolios managed in accordance with the same investment mandate, objective, or strategy. For example, if a GIPS-compliant firm presents its track record for a Global Equity Composite (the Composite), the Composite must include all fee-paying portfolios that are managed, or have historically been managed, in the firm's Global Equity strategy. The firm may not subjectively select which Global Equity portfolios will be included in or excluded from the calculation and presentation of the Global Equity Composite. The determination of which portfolios to include in the Composite should be done according to pre-established criteria (i.e., on an *ex ante* basis), not after the fact. This prevents a firm from including only their best-performing portfolios in the Composite.

A firm that claims compliance must include all fee-paying, discretionary segregated accounts in at least one composite. A firm must also include all fee-paying discretionary pooled funds in any composite for which the pooled funds meet the composite definition.

Please read Section 3.A. of the GIPS Standards for Firms on composites.

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How is the answer "all portfolio's with the SAME investment mandate are aggregated into a composite" correct when the answer states "one or more portfolios managed according to SIMILAR investmnet mandate, objective or strategy"... Is the no difference in "same" and "similar"?

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